HR / 29 July 2026

Car Lease Policy

➢ Scope of the policy

- This policy will be applicable to all EX & Above employees of BAL & its subsidiaries across locations
- Campus recruits (MTs, GTEs, etc.) will be eligible to avail the benefits under this policy after their confirmation
- New employees hired through the Lateral route can avail a company leased car right after their joining

➢ What is a Car Lease policy

This policy allows an employee to avail a company leased car for a certain tenure through an appointed car leasing company.

➢ Selection of the "Car", "Lease tenure" and "Optional Services"

- **Selection of Car**
  Under the Company Car lease policy, the employee will have choice to take a car of his/her own preference
- **Opt in**
  If you wish to opt in for the car lease benefit please fill this form.
- **Lease tenure**
  Employee can choose a lease tenure of 24, 36, 48 or 60 months.
- **Others**
  - Terms & Conditions of other services including insurance, etc. will be shared by the leasing company at the time of quotation basis the Master Lease Agreement (MLA).
  - As per terms & conditions, it is mandatory to take **Insurance** from the Leasing company.
  - The employee can choose the types of insurances available with the leasing company. Add on premium like zero depreciation, Return to Invoice (RTI) etc. can be added in consultation with the leasing company.
  - Employee must read the quotation, MLA and the Tri-partite agreement before signing.

➢ Calculation of the Monthly Lease Rent

Monthly lease rent of a car will be calculated basis following parameters:

- The on-road price of the car
- Valuation of other services, if applicable
- Insurance of complete tenure, if applicable
- The total rent of the car will also include the administration charges and applicable GST
  - GST is calculated as per the prevailing laws. It is subject to change. In case of any change in the relevant rules, there will be change in total lease rent.

➢ Adjustment of monthly lease rental

- Bajaj Auto will pay the consolidated lease rent for all employees who have opted for car lease to the leasing company every month based on lease rental bill raised by leasing company on BAL
- Adjustment of the amount equal to the monthly lease rental will be made from the flexi basket which is the sum of conveyance allowance and miscellaneous allowance

payable to the employee and will be effective from the dates mentioned in the below table:

Sr.No.	Delivery of the car	Adjustment in CTC
1	Between 1st to 15th day of the month	Adjustment in flexi basket will be made from the 1st day of the same month
2	Between 16th to last day of the month	Adjustment in flexi basket will be made from the 1st day of subsequent month

- There will be no change in the existing total CTC of an employee on account of opting for company provided leased car under this policy
- The monthly lease rent amount will be added back to the flexi basket as soon as the employee surrenders/buys back the car upon completion of lease period or lawful foreclosure of the lease agreement

➢ Car Lease Rent Limits

- The Lease Rent limit will be: Conveyance Allowance +Miscellaneous Allowance - (Amount opted for canteen deduction + Amount opted for NPS deduction))
- Example:
  - Basic = Rs. 50,000
  - Miscellaneous Allowance = Rs. 1,00,000
  - Conveyance Allowance = Rs. **50,000**
  - Monthly Lease Eligibility = Rs. 1,34,200*(50,000+1,00,000 – (8,800 + 14%*50,000)))*
- Note: Employees can refer to their respective CTC annexures and calculate their Lease Rent limit

➢ Exit from the Lease Agreement on completion of the Tenure

- Lease termination will automatically happen at the end of the leasing tenure basis the T&C of the Tri-Partite and the Master Lease Agreement

➢ Foreclosure: Exit from the Lease Agreement before the completion of tenure

- Employee must foreclose the lease arrangement in the following scenarios:
  - Resignation
  - Retirement
  - Termination of services
  - Sabbatical
- In the event of death of the employee, the lease shall be foreclosed by the dependents.
- The employee will have to pay the foreclosure value/buy-back value as per the foreclosure schedule shared at the time of entering into tri-partite agreement along with applicable charges (If any).
- In case of separation of employee during the tenure of the leasing agreement, employee has to pay the foreclosure value/buy-back value along with applicable charges (If any) of the car assigned to him/her.
- "No Objection Certificate" from leasing company would be the pre-requisite for full and final

settlement of such employee.

- Post foreclosing the lease, the responsibility of clearing Hypothecation of the vehicle lies solely on the employee.

➢ In case of total loss / theft /Damage to the leased car

- In case of total loss/ theft/ damage to the leased car, the claim and the settlement will be carried out as per the terms and condition of the master lease agreement and valid insurance policy as of that date
- Wherever necessary, it would be the **responsibility of the employee** to file an FIR and complete all legal formalities.

➢ Income Tax & Perquisite

- Income tax & perquisites are governed by the existing regulations
- The valuation of perquisite will be calculated subject to the prevailing income tax rules

The management reserves the right to modify or withdraw this policy, in part or full, with or without prior information to the employees. Any exercise of Company discretion, wherever provided for, in this policy, shall be binding on the employee. In cases where special considerations arise and need to be carried out resulting in deviations from the provisions of this policy, prior approval of CHRO shall be required.